
Vendor Cost Comparison for Procurement Decisions

Problem Understanding, Proposed Questions and Solution

Excel Project – Phase I

Problem Understanding

The company purchases raw materials and products from multiple vendors. These vendors differ in several aspects such as price, delivery time, reliability and product quality.

The company wants to reduce procurement costs, but choosing only the cheapest vendor could lead to quality or delivery problems.

Currently, vendor selection is mainly based on past relationships, familiarity and experience with suppliers. Also there is no data driven comparison between vendors to assess who perform better.

Therefore, the company needs to compare vendors based on **cost, delivery and quality/reliability** before making procurement decisions.

Proposed Solution

We will use the available dataset in Excel to compare vendor performance and answer the following questions:

- Which vendors consistently offer the most competitive prices?
- Which vendors provide better delivery performance?
- Are higher-priced vendors actually providing better quality or reliability?
- Which vendors offer the best overall value for the company?
- Which vendors show significant variations in prices over time?
- Which vendors supply the largest quantity of products?
- Does the vendor with the lowest price also have good delivery performance?
- Which vendors have the lowest average purchase price?

The analysis will help identify vendors that give better prices and performance and reliable vendors and areas where procurement costs can be reduced. Also aiming at lowering delivery times and get good quality products.

Objective

The main objective is to identify better-performing and cost-effective vendors and support better procurement decisions.

The analysis aims to:

- Compare vendor prices and performance.
- Identify reliable vendors.
- Understand delivery delays and pricing patterns.
- Find vendors offering better overall value.
- Identify opportunities to reduce procurement costs.
- Support vendor selection and negotiation decisions.